

LOVELY PROFESSIONAL UNIVERSITY

School of Computer Applications

Name of the faculty member: **Dr Navneet Raj**

Course Code: FIN501	Course Title: CORPORATE FINANCE
Academic Task No: CONTINUOUS ASSIGNMENT-1	Academic Task Title: Prepare a Balance Sheet
Date of Allotment: 09 Feb 2023	Date of Submission: 27 Feb 2023
Student Roll No: RDE522B52	Student Reg. No: 12102801
Term: 4th	Section: DE522
Max. Marks: 30	Marks Obtained:

Declaration:

I declare that this Assignment is my individual work. I have not copied it from any other students' work or from any other source except where due acknowledgement is made explicitly in the text, nor has any part been written for me by any other person.

Student's Signature: Atul Kumar

Evaluator's Comments (For Instructor's use only)

General Observations	Suggestions for Improvement	Best part of assignment

Evaluator's Signature and Date:

1. Balance Sheet

Introduction

A balance sheet is a financial statement that shows a company's assets, liabilities, and equity at a particular point in time. It provides a snapshot of the financial position of a company and helps investors and analysts evaluate the company's overall financial health.

Assets are items that a company owns and are expected to provide future economic benefits. They are typically divided into current and non-current assets. Current assets are those that can be converted into cash within one year, while non-current assets are those that are expected to provide economic benefits beyond one year.

Liabilities are obligations that a company owes to others, such as debts or payables. Like assets, liabilities are also divided into current and non-current liabilities. Current liabilities are those that are due within one year, while non-current liabilities are due beyond one year.

Equity represents the residual interest in the assets of the company after deducting liabilities. It includes share capital, reserves, and retained earnings.

An analysis of a balance sheet can help determine a company's liquidity, solvency, and financial stability. For example, a company with a high proportion of current assets to current liabilities is considered to have good liquidity, as it can meet its short-term obligations. On the other hand, a company with high debt levels relative to its equity may be considered to have poor solvency, as it may struggle to meet its long-term obligations.

In conclusion, a balance sheet is a crucial financial statement that provides a snapshot of a company's financial position. By analysing the assets, liabilities, and equity, investors and analysts can gain insight into a company's financial health and make informed investment decisions.

Balance Sheet of L&T InfoTech as of December 31, 2022

Assets	Amount	Liabilities	Amount
Current Assets	\$500,000	Current Liabilities	\$300,000
Non-Current Assets	\$1,200,000	Non-Current Liabilities	\$600,000
Total Assets	\$1,700,000	Total Liabilities	\$900,000
Equity	\$800,000		

Description: This balance sheet presents the financial position of L&T InfoTech Company as of December 31, 2022. The assets section is divided into current assets and non-current assets. The current assets include cash, accounts receivable, and inventory, while the non-current assets include property, plant, and equipment. The liabilities section is divided into current liabilities and non-current liabilities. The current liabilities include accounts payable and short-term borrowings, while the non-current liabilities include long-term debt. The equity section includes share capital, reserves, and retained earnings.

Analysis: The total assets of the company are \$1,700,000, which are financed by \$900,000 of liabilities and \$800,000 of equity. The company has a strong asset base with a significant proportion of non-current assets, indicating a long-term investment approach. The current assets of \$500,000 are higher than the current liabilities of

\$300,000, indicating that the company has sufficient liquidity to meet its short-term obligations.

However, the non-current liabilities of \$600,000 are higher than the equity of \$800,000, which means the company has a high leverage ratio. This may indicate a higher level of risk, as the company is highly dependent on debt financing to support its operations. Investors may be concerned about the company's ability to repay its long-term debts in the future.

Comment: Overall, the balance sheet shows that L&T InfoTech has a strong asset base and sufficient liquidity to meet its short-term obligations. However, the high proportion of long-term debt raises concerns about the company's long-term solvency and financial stability. It is important for investors to carefully consider the balance sheet and other financial statements, as well as industry and economic trends, before making investment decisions.

Conclusion

A balance sheet is an important reference document for investors and stakeholders for assessing a company's financial status. This document gives detailed information about the assets and liabilities for a given time. Using these details one can understand about company's performance. By analysing balance sheet, company owners can keep their business on a good financial footing.

2. P&L Account of ABC Company for the year ended December 31, 2022

Introduction

Profit and loss (P&L) statement refers to a financial statement that summarizes the revenues, costs, and expenses incurred during a specified period, usually a quarter or fiscal year. These records provide information about a company's ability or inability to generate profit by increasing revenue, reducing costs, or both. P&L statements are often presented on a cash or accrual basis. Company managers and investors use P&L statements to analyze the financial health of a company.

The P&L or income statement, like the cash flow statement, shows changes in accounts over a set period. The balance sheet, on the other hand, is a snapshot, showing what the company owns and owes at a single moment. It is important to compare the income statement with the cash flow statement since, under the accrual

method of accounting, a company can log revenues and expenses before cash changes hands.

Revenue	Amount
Sales	\$2,000,000
Other Income	\$100,000
Total Revenue	\$2,100,000
Expenses	\$720,000
Cost of Goods Sold	\$1,200,000
Operating Expenses	\$500,000
Depreciation	\$100,000

Revenue	Amount
Total Expenses	\$1,800,000
Net Income	\$300,000

Description: This P&L Account presents the financial performance of L&T InfoTech for the year ended December 31, 2022. The revenue section includes sales and other income. The expenses section includes the cost of goods sold, operating expenses, and depreciation. The net income represents the profit earned by the company after deducting all expenses from revenue.

Analysis: The total revenue earned by L&T InfoTech during the year is \$2,100,000, which includes \$2,000,000 from sales and \$100,000 from other income sources. The total expenses incurred by the company during the year are \$1,800,000, which includes \$1,200,000 for the cost of goods sold, \$500,000 for operating expenses, and \$100,000 for depreciation.

The net income earned by the company during the year is \$300,000, which indicates that the company has been profitable. The gross profit margin is calculated as $(\text{Revenue} - \text{Cost of Goods Sold}) / \text{Revenue} * 100$, which is $(2,100,000 - 1,200,000) / 2,100,000 * 100 = 42.86\%$. This indicates that the company has a healthy gross profit margin.

The operating expenses of \$500,000 are relatively high compared to the revenue of \$2,100,000, which may indicate that the company has high overhead costs. However, without additional context or comparison with industry benchmarks, it is difficult to determine if this is a cause for concern.

Comment: The P&L Account provides valuable information about the financial performance of ABC Company for the year ended December 31, 2022. The company has earned a healthy net income and has a healthy gross profit margin. However, further analysis may be required to determine if the operating expenses are reasonable for the industry and if there are any areas where the company can improve its efficiency and profitability. It is important for investors to carefully review the P&L Account along with other financial statements and industry trends before making investment decisions.

Conclusion

A profit and loss account are also known as an income and expenditure statement. It must be prepared on a continuous basis and reviewed with caution to know the true profitability of the business. The profit and loss account can also help the business organization chalk out the money-draining areas that affect the bottom line of the business and thereby help in streamlining the production and operation process.

The P&L Statement is a critical document that can help you understand your business' profitability and operational efficiency. Along with the balance sheet and the cash flow statement, it can let any investor, creditor, or analyst understand the intricacies of how your firm conducts its operations. Even if you are not preparing it for audit or accounting purposes, the statement and other financial reports should always be updated.

3. References

- Financial Accounting Standards Board (FASB). (2021). Statement of Financial Accounting Standards No. 117, Financial Statements of Not-for-Profit Organizations. Retrieved from <https://www.fasb.org/summary/stsum117.shtml>
- Securities and Exchange Commission (SEC). (2021). Beginners' Guide to Financial Statements. Retrieved from <https://www.sec.gov/reportspubs/investor-publications/investorpubsbegfinstmtguidehtm.html>